Stora Enso Oyj

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COMPANY PROFILE

Stora Enso Oyj is a global producer of renewable materials headquartered in Finland. It operates in packaging, biomaterials, wood products, and forestry. Its main businesses are consumer and industrial packaging boards, containerboard and packaging solutions, dissolving and market pulp, and one of Europe's largest private forest holdings. The company is restructuring: it plans to spin off its Swedish forest assets into a separately listed company by 2027 and is reviewing its Central European wood-products operations, concentrating on renewable packaging.

RECOMMENDATION	CURRENT PRICE	TARGET PRICE
BUY	9.25 EUR	11.20 EUR
12-month horizon	as of report date	12-month fundamental

IMPLIED UPSIDE	MARKET CAP	ENTERPRISE VALUE
+21.1%	EUR 7.3 bn	EUR 10.7 bn
vs. current price	shares × price	mcap + net debt

P/E 2026E	EV/EBITDA 2026E	FCF YIELD 2026E	DIVIDEND YIELD 2026E	NET DEBT / EBITDA 2026E
18.0×	6.8×	1.2%	4.5%	2.2×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

RECOMMENDATION **BUY** 12-month horizon	TARGET PRICE **11.20 EUR** 12-month fundamental	CURRENT PRICE **9.25 EUR** as of report date	IMPLIED UPSIDE **+21.1%** vs. current price
MARKET CAP **EUR 7.3 bn** shares × price	ENTERPRISE VALUE **EUR 10.7 bn** mcap + net debt	P/E · EV/EBITDA 2026E **18.0× · 6.8×** forward forecast basis	FCF · DIV YIELD 2026E **1.2% · 4.5%**

01 **Bergslagets Skogar Demerger**

The H1 2027 demerger of Bergslagets Skogar would surface the €8.48bn gross forest NAV. Today that value is buried inside the group's €10,679m EV, even though it accounts for 62.2% of EV.

`€8.48bn NAV`

02 **Oulu Margin Normalization**

Oulu's 750kt packaging line (targeting €800m sales) should flip from a €100m EBITDA drag in 2025 to a >10% margin as ramp-up costs unwind in 2026–27.

`>10% margin`

03 **EBITDA Expansion Path**

Group adjusted EBITDA is forecast to rise from €1,144m in 2025 to €1,520m by 2027e, justifying the 8.0x target multiple compared with the stock's current 6.77x 2026e multiple.

`€1,520m EBITDA`

THESIS BREAKER

The thesis breaks if the demerger triggers excessive tax leakage or if structural inflation in Nordic wood fiber prevents margin expansion.

03

SHARE PRICE DEVELOPMENT

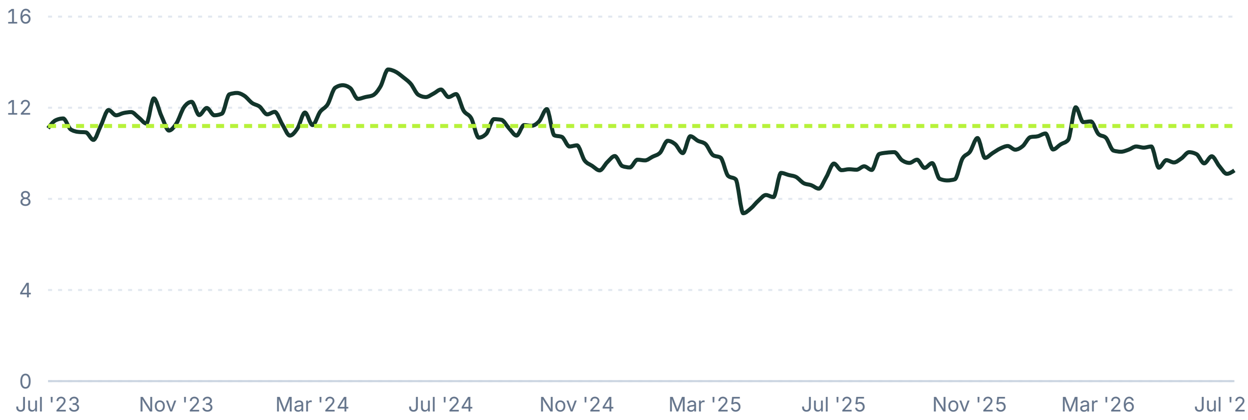
Price trajectory and valuation anchors

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.

Share price — last 24 months

EUR per share, with 12-month target line

- Share price
- 12-month target



CURRENT PRICE **9.25 EUR** 3 July 2026	TARGET PRICE **11.20 EUR** 12-month	IMPLIED UPSIDE **+21.1%** vs. current	52-WEEK HIGH **12.26 EUR** past 12m
52-WEEK LOW **8.50 EUR** past 12m	1-YEAR CHANGE **−0.3%** price only	3-YEAR CHANGE **−13.4%** price only	REPORT DATE **3 July 2026**

VALUE BREAKDOWN · PART 1

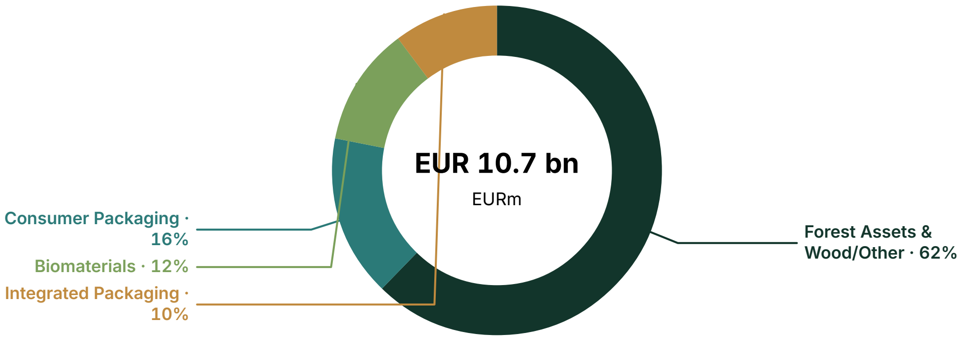
04

Enterprise-value allocation by value pool

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.

Enterprise value by pool

EUR millions



SEGMENT ECONOMICS

	REVENUE	SHARE OF REVENUE PER DIVISION	COMP. EBIT	SHARE OF EBIT PER DIVISION
Forest Assets & Wood/Other	2,304	24.7%	114	21.6%
Consumer Packaging	3,407	36.5%	111	21.0%
Biomaterials	1,438	15.4%	185	35.0%
Integrated Packaging	2,177	23.3%	118	22.3%
Total	**9,326**	**99.9%**	**528**	**99.9%**

VALUE BREAKDOWN · PART 2

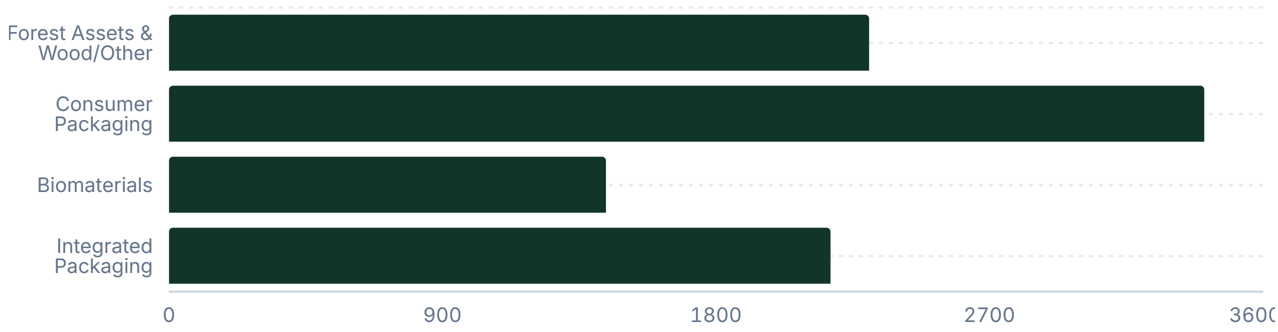
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

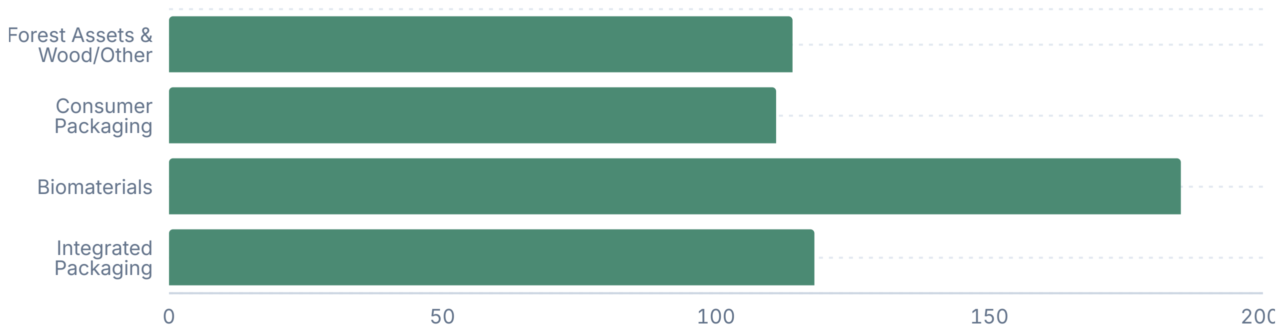
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

The market allocates 62.2% of Stora Enso's EV to the Forest Assets pool, treating it as an asset-backed proxy for the €8.48bn gross NAV ahead of the planned 2027 demerger. This leaves the core operating divisions—Consumer Packaging, Biomaterials, and Integrated Packaging—valued at deeply distressed implied multiples, creating a sharp sum-of-the-parts tension where the industrial businesses are outweighed by the trapped biological asset wealth.

RECOMMENDATION

06 Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

The re-rating depends on one event: the H1 2027 demerger of Bergslagets Skogar, which would unlock the €8.48bn gross forest NAV. At the same time, Consumer Packaging's Oulu line (750kt capacity, €800m sales target) must shift from a €100m EBITDA drag in 2025 to a >10% margin contributor. Group adjusted EBITDA is forecast to rise from €1,144m in 2025 to €1,520m in 2027e and €1,869m in 2029e, yet the stock trades at 6.77x 2026e EV/EBITDA, versus a peer median of 7.9–8.1x and Stora's own 9.0x long-run average.

Applying the selected 8.0x multiple to 2027e EBITDA of €1,520m plus a 0.8x P/BV cross-check on €14.07 BVPS yields a blended target of €11.20 versus the current €9.25 price — 21% upside contingent on execution, not multiple expansion alone.

The mispricing is clear: if we strip out the forest NAV discounted by 20% (~€6.8bn realizable) from the €10,679m EV, the remaining ~€3.9bn covers the three operating divisions, which generate €856m combined adjusted EBITDA. That implies a distressed ~4.5x multiple, versus the 8.0x fair multiple on 2027e group EBITDA. To close this gap, three things must happen: the Bergslagets Skogar CMD on November 3, 2026 must disclose debt and tax allocation; Consumer Packaging margins must clear 10% by mid-2026; and Central European sawmill divestment terms must be finalized by late 2026.

The stock is currently trading at EUR 9.25 and appears undervalued, supporting a BUY view with a target price of EUR 11.20, implying roughly 21% upside over the next 9 months.

BUY

TARGET PRICE
11.20 EUR

CURRENT PRICE
9.25 EUR

IMPLIED UPSIDE
+21.1%

12-MONTH VIEW
The H1 2027 Bergslagets Skogar demerger is expected to unlock significant asset value while the Oulu mill conversion normalizes packaging margins.

MAIN DRIVER
Demerger of Bergslagets Skogar and Oulu margin normalization

MAIN RISK
Demerger tax leakage and European containerboard overcapacity

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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

To properly allocate Stora Enso's EV, we must split the analysis in two. The company is transforming from an integrated forest-products conglomerate into two separate entities: a pure forest asset owner and a dedicated renewable packaging operator. This creates a severe sum-of-the-parts tension. Reported financials mix large, non-cash asset revaluation gains with temporarily low operating margins, hiding the true cash economics of the industrial businesses.

The majority of Stora Enso's revenue comes from packaging; Consumer Packaging alone contributes 36.5% of sales. But the EV allocation is inverted: 62.2% of the €10,679m group EV sits in the Forest Assets & Wood/Other pool, even though that pool generates only 24.7% of sales and 21.6% of adjusted EBIT. This weighting is asset-backed, anchored to the disclosed €8.48bn gross forest value. Since the sum of the forest NAV and the capitalized earnings of the packaging divisions would far exceed the actual group EV, we apply a uniform normalization discount (~22%) to all segments to reconcile the parts to the observed EV.

To bridge from EV to equity market cap, we subtract implied net debt and other claims of €3,384m, giving a €7,295m market cap. This suggests equity holders are applying a large conglomerate discount. The 2025 IFRS EBIT of €942m is heavily distorted by €466m in non-cash biological revaluations and one-offs. So to assess recurring cash generation, we must use adjusted EBIT of €528m and adjusted EBITDA of €1,144m.

ANALYTICAL ANCHOR

The EV allocation needs a two-part framework, separating the large Forest Assets pool from the temporarily weak Consumer Packaging segment.

CORE ANALYSIS · POOL DEEP DIVES

08

Forest Assets & Wood/Other

Pool deep dive — asset_backed_value_pool.

This pool generates 24.7% of group sales (€2,304m) and 21.6% of adjusted EBIT (€114m), yet it accounts for 62.2% of group EV (€6,639m). The EV is allocated using a normalized asset NAV framework (low confidence). IFRS operating profits are heavily inflated by biological asset revaluation gains, so the valuation hinges entirely on whether the balance-sheet assets can be realized, not on recurring cash flow.

The market treats this pool as an asset-backed play on land scarcity, biological timber growth, and carbon sequestration. Stora Enso owns over 1.2m hectares of Swedish forest, making it one of Europe's largest private forest owners. Investors are pricing in the announced catalyst: the H1 2027 cross-border demerger of the Swedish forest assets into a new listed company, Bergslagets Skogar. Separating the long-duration, inflation-hedging forest from the cyclical, capital-intensive packaging business is expected to allow the new entity to trade at a premium in line with pure-play Nordic forest owners. The valuation reflects recovery and restructuring potential—the expectation that the conglomerate discount on the €8.48bn gross forest NAV will shrink once the assets are legally separated.

The Nordic forestry market is concentrated among a few large corporate owners; the rest is held by small private owners and the state. Institutional capital wanting direct forestry exposure has few listed pure-play options. Demand for timberland is supported by the shift toward renewable building materials and fiber packaging, replacing plastics and high-carbon concrete. Harvesting typically yields a cash return of 2–3% per year, plus underlying land appreciation that has averaged about 4.5% annually in Sweden.

The valuation uses an asset-backed approach: allocated EV = gross NAV less debt, tax, separation costs, and a realizability discount. With a group EV of €10,679m and a gross forest NAV of €8,478m, applying a standard 15–20% discount for deferred tax and transaction costs leaves roughly €6.8–7.2bn in realizable forestry EV. The allocated €6,639m is therefore consistent with disclosed appraisal values. However, caution is needed on the equity bridge: the implied group net debt of €3,384m must be divided between the entities.

FOREST ASSETS & WOOD/OTHER FACT SHEET

ASSET_BACKED_VALUE_POOL

GROSS ASSET FAIR VALUE
€8.478bn

SWEDISH HECTARES
1.2m

CE SAWMILL CAPACITY
3m cubic meters

CORE ANALYSIS · POOL DEEP DIVES

08

Consumer Packaging

Pool deep dive — scaling_current_business.

Consumer Packaging is the largest revenue segment, at 36.5% of group sales (€3,407m). But it contributes only 21.0% of adjusted EBIT (€111m) and gets just 15.8% of allocated EV (€1,690m). The allocation (medium confidence) is based on an indirect EBITDA multiple. Importantly, current earnings are held down by a ~€100m drag from the ramp-up of the newly converted Oulu consumer board line in 2025.

The market sees Consumer Packaging as Stora Enso's future core. After the demerger, it will be the main engine of the remaining industrial group. The valuation depends on margins recovering and capacity scaling. The €1.1bn conversion of the Oulu mill from paper to high-margin folding boxboard and coated kraft back is meant to capture the secular shift away from plastic. The low 15.8% EV share reflects that the division is currently in the margin-dilutive phase of a large project; for the valuation to work, Oulu must move from a fixed-cost drag to a high-utilization cash generator by 2027.

The global consumer board market (cartonboard, foodservice, liquid packaging) serves FMCG, pharma, and food-service end markets. Demand is fairly inelastic, giving it defensive volumes, while plastic substitution drives structural growth slightly above GDP. Europe depends on Nordic producers because high-quality, lightweight food-contact board needs premium virgin softwood fiber, which is geographically limited. New capacity is being absorbed, causing temporary pressure on utilization rates.

The valuation implies that allocated EV = required future EBITDA × a plausible peer multiple. Using a conservative 6.5x EV/EBITDA (consistent with Nordic packaging peers in recovery), the €1,690m allocated EV needs only about €260m in segment EBITDA. Even with the €100m Oulu drag, current adjusted EBITDA is already ~€332m. If Oulu reaches its €800m sales target at a conservative 12% margin, it would add nearly €100m in incremental EBITDA, taking run-rate segment EBITDA comfortably above €400m by 2027.

CONSUMER PACKAGING FACT SHEET

SCALING_CURRENT_BUSINESS

TARGET CAPACITY
750,000 tonnes

TARGET SALES
€800m

RAMP-UP DRAG
~€100m

CORE ANALYSIS · POOL DEEP DIVES

08

Biomaterials

Pool deep dive — commodity_or_spread_business.

Biomaterials accounts for 15.4% of sales (€1,438m) but delivers a much larger 35.0% of group adjusted EBIT (€185m). It is allocated €1,241m of EV (11.6%), using an indirect EBITDA multiple framework.

The market views this pool as a high-cash-flow but volatile commodity spread engine. It produces market pulp (fluff and dissolving) and biochemicals. The key question is how well margins hold up in pulp downcycles. Even with weak pricing in 2024 and early 2025, the segment posted an 11.9% adjusted EBIT margin, showing a strong cash-cost position supported by FX and integrated wood sourcing.

Unit economics are volume times spread: global USD pulp prices minus Nordic EUR fiber and energy costs. To support the €1,241m EV at a conservative 5.5x through-the-cycle multiple, the segment needs about €225m in recurring EBITDA. It currently generates an estimated ~€288m even in a soft pricing environment, so current economics fully cover the valuation. The main risk is a structural rise in Nordic wood costs—from the permanent loss of Russian wood imports—that outstrips global pulp price inflation, squeezing spreads relative to lower-cost South American eucalyptus pulp producers such as Suzano.

BIOMATERIALS FACT SHEET

COMMODITY_OR_SPREAD_BUSINESS

ADJ EBIT MARGIN
11.9%

EST EBITDA
~€288m

CORE ANALYSIS · POOL DEEP DIVES

08

Integrated Packaging

Pool deep dive — current_profit_engine.

Integrated Packaging (containerboard and packaging solutions) generates 23.3% of sales (€2,177m) and 22.3% of adjusted EBIT (€118m), with an EV allocation of €1,109m (10.4%).

The segment operates in the mature, cyclical containerboard and corrugated box market. It is valued on current cash generation, but the multiple is compressed by structural European overcapacity. The pandemic-era e-commerce boom triggered industry-wide capacity additions that are now hurting operating rates. Unlike premium consumer board, containerboard relies heavily on recycled fiber and is more commoditized, leaving it exposed to swings in industrial production and retail demand.

To support the €1,109m EV at 6.0x, the segment needs about €185m in recurring EBITDA. The current estimated ~€236m clears that hurdle. The tension is whether this earnings base can be defended. The market structure works against the thesis somewhat: global peers like Smurfit WestRock have far greater scale and geographic diversification, making Stora Enso's Europe-centric footprint more exposed to regional stagnation. Management must focus on cost control, keep maintenance capex low, and hold market share without starting a margin-destroying price war.

INTEGRATED PACKAGING FACT SHEET

CURRENT_PROFIT_ENGINE

EST EBITDA
~€236m

MARKET STATE
European overcapacity

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

Moving from these value pools to the consolidated group forecast means navigating a period of heavy capex and a return to normal earnings.

The forecast hinges on Consumer Packaging's operational recovery. The €100m EBITDA drag from the Oulu ramp-up in 2025 should become a positive contribution once the line reaches commercial qualification and scales toward its €800m sales target. This organic gain is underpinned by the currently stable cash flows from Biomaterials and Integrated Packaging, as long as their commodity spreads don't worsen further.

The weakest part of the bridge is the 2026 free cash flow forecast. Gross capex jumps to €1,187m in 2026, nearly wiping out near-term FCF (just €87m). This capex peak is needed to finalize the industrial footprint before the 2027 forest demerger. For the 2029 estimates to hold, Stora Enso must deliver this capex on budget and divest the underperforming Central European sawmills, which currently hurt group capital efficiency. Importantly, the reported 2025 EBITDA of €1,449m includes non-cash biological revaluations; the real operational starting point is the adjusted €1,144m. So the climb to €1,578m in 2026 depends heavily on immediate execution at Oulu, not just accounting gains.

> **BRIDGE MECHANICS**
>
> The forecast relies on eliminating the €100m Oulu ramp-up drag and managing the peak €1.18bn capex cycle in 2026.

The current EV allocation reveals a sharp mismatch between the company's asset wealth and its capitalized operating earnings.

Under a sum-of-the-parts asset NAV framework, the forest assets alone are worth €8.48bn gross. Applying a standard 20% friction discount for deferred taxes and demerger costs yields a realizable value of about €6.8bn. Subtract that from the €10.68bn group EV, and only ~€3.9bn of residual EV covers the three operating divisions (Consumer Packaging, Integrated Packaging, Biomaterials).

Those three divisions generated an estimated €856m in combined adjusted EBITDA (including the €100m Oulu drag). A €3.9bn residual EV implies the market values these packaging and pulp businesses at a blended ~4.5x adjusted EBITDA. That is a distressed multiple for assets that have just absorbed €1.7bn in modern conversion capex.

The allocation seems to embed two contradictory assumptions: the market applies a large conglomerate discount to the forest NAV while also pricing the packaging businesses as if the Oulu ramp-up won't earn an acceptable return.

The current valuation could be justified if the €3,384m net debt is mostly left with the industrial RemainCo after the demerger, or if European wood fiber costs stay structurally high, permanently crimping Consumer Packaging's margins. On the other hand, the valuation could break—triggering a sharp upward re-rating—if the demerger goes smoothly with balanced debt allocation. If Bergslagets Skogar lists at a premium to NAV and the packaging operations end up with manageable leverage and normalised >10% margins, the current €7.29bn equity cap will look deeply mispriced.

CORE ANALYSIS · SCENARIOS & VERDICT

10 Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

The valuation outcome depends almost entirely on the mechanics of the 2027 demerger and on Oulu's operational execution.

The scenarios differ mainly in how the conglomerate discount disappears. The Forest Assets segment drives the biggest swing because of its size: each 5 percentage-point change in the discount on the €8.48bn gross NAV moves equity value by over €400m.

The downside scenario hinges on debt allocation and tax leakage. If Swedish tax authorities levy heavy crystallization charges on the transfer, or if Bergslagets Skogar can't carry its pro-rata share of the €3,384m debt, the industrial RemainCo will be starved of the capital it needs to finish the packaging transition.

For the upside to happen, two things must align. Capital markets must value Bergslagets Skogar as a scarce, premium real-asset vehicle (like SCA's premium to book). And FMCG end-markets must absorb Oulu's 750,000 tonnes of capacity without triggering a price war in Consumer Packaging.

BOTTOM LINE

The investment debate is straightforward: will the H1 2027 demerger of the Swedish forest assets unlock the trapped value, or will separation costs and structural packaging challenges erode it before shareholders benefit?

FINANCIAL BRIDGE · PART 1

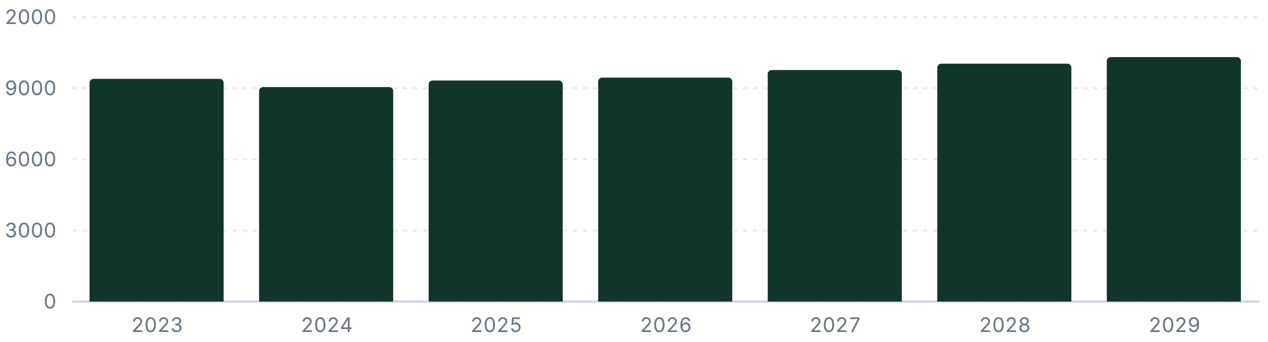
14

Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

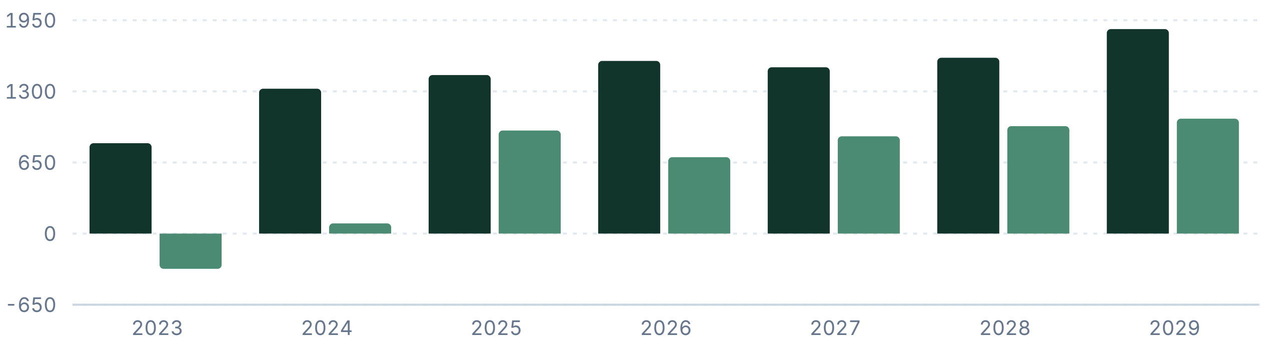
EUR millions



EBITDA & EBIT

EUR millions

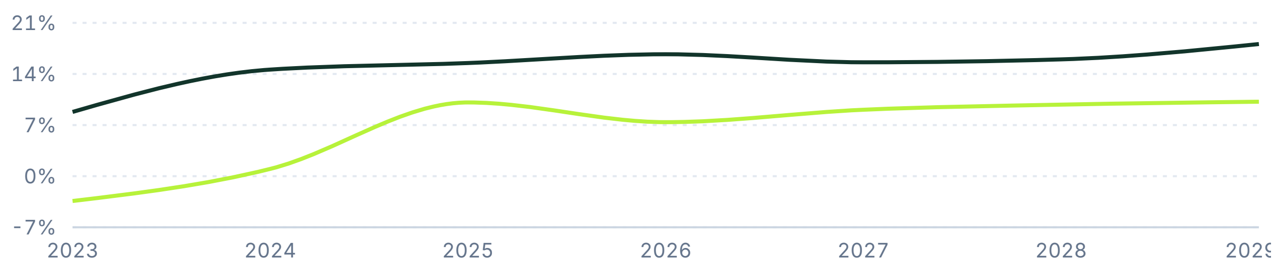
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

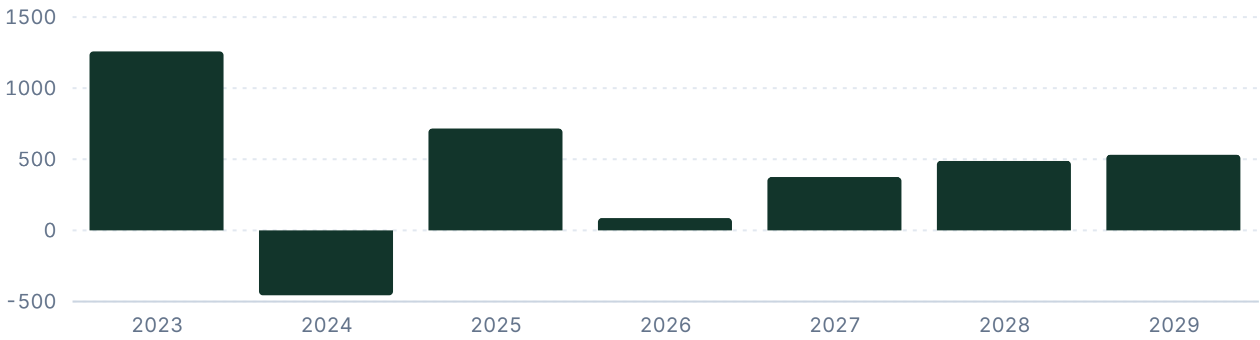
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

Free cash flow

EUR millions



Net debt / EBITDA

Ratio

KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	9,326	9,447	9,768	10,036	10,313
EBITDA	1,449	1,578	1,520	1,607	1,869
Comparable EBIT	942	698	889	982	1,050
Net Earnings	**686**	**406**	**568**	**636**	**600**
EPS (EUR)	0.9	0.5	0.7	0.8	0.8
DPS (EUR)	0.3	0.4	0.6	0.6	0.6

VALUATION

Target price derivation

16

Why this method and multiple were selected, and the company's own multiples behind it.

The valuation archetype for Stora Enso is an asset-heavy restructuring play, for which EV/EBITDA is the standard primary valuation method to capture cyclical cash generation independent of capital structure. We complement this with a P/BV supporting method to anchor the firm's substantial net asset value tied to its underlying Swedish forests. Stora Enso currently trades at 7.0x 2027e EV/EBITDA, compared to a peer median of 7.9x and its own normalized historical average of 9.0x. The selected fair multiple of 8.0x reflects a slight premium to the broader packaging peer group to account for the embedded value of its forest assets, while maintaining a clear discount to its historical average to address ongoing restructuring execution risks. The main valuation risk is a delayed margin recovery in the Wood Products and Packaging segments if European construction and consumer demand remain depressed, which could compress EBITDA generation and prompt a multiple de-rating.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	NORM. AVG	SELECTED FAIR MULTIPLE
P/E	20.04x	10.03x	6.75x	-22.93x	-41.89x	12.31x	17.96x	12.85x	11.42x	12.28x	
P/FCF	-262.20x	58.89x	-108.97x	7.85x	-16.82x	11.77x	83.43x	19.45x	14.89x	9.81x	
P/BV	1.40x	1.19x	0.83x	0.90x	0.76x	0.78x	0.66x	0.66x	0.65x	0.98x	0.80x
P/S	1.44x	1.25x	0.89x	1.05x	0.85x	0.91x	0.77x	0.75x	0.73x	1.06x	
EV/Sales	1.81x	1.49x	1.09x	1.31x	1.26x	1.24x	1.13x	1.09x	1.06x	1.37x	
EV/EBITDA	10.44x	7.16x	4.98x	14.86x	8.58x	8.00x	6.77x	7.03x	6.65x	9.00x	8.00x
EV/EBIT	16.77x	9.67x	6.33x	-38.12x	122.21x	12.30x	15.30x	12.01x	10.87x	11.27x	
Dividend yield	1.9%	1.9%	4.2%	4.8%	2.1%	2.3%	4.5%	6.3%	6.9%	2.5%	

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBIT 2026E	P/BV	EBIT MARGIN	ROE	DIV YIELD
UPM	Finland	12.2 EURbn	14.9x	12.3x	7.2x	13.5x	1.2x	11.4%	8.2%	5.4%
Mondi plc	UK / So...	34 EURm	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Smurfit Westrock Plc	Ireland ...	22.0 USDbn	14.5x	12.1x	9.1x	14.5x	1.1x	8.7%	5.7%	n/a
Svenska Cellulosa Aktiebolaget SCA (publ)	Sweden	90.3 SEKbn	19.9x	17.2x	16.2x	22.3x	0.8x	26.8%	4.1%	n/a
Holmen AB (publ)	Sweden	57.5 SEKbn	16.7x	15.9x	10.0x	13.6x	0.9x	17.6%	5.5%	n/a
Metsa Board	Finland	872 EURm	-38.4x	13.5x	4.9x	59.2x	0.6x	1.3%	-1.6%	n/a
BillerudKorsnäs AB (publ)	Sweden	16.0 SEKbn	10.1x	8.0x	3.4x	7.6x	0.5x	5.6%	5.4%	5.7%
Suzano S.A.	Brazil	11.0 BRLbn	1.3x	1.2x	4.6x	8.0x	0.3x	27.5%	19.6%	79.4%
International Paper Company	United ...	19.3 USDbn	12.7x	9.1x	9.5x	22.2x	1.9x	5.5%	15.9%	n/a
Peer median	-	-	14.5x	12.2x	8.1x	13.6x	0.8x	7.1%	5.5%	5.6%
Peer average	-	-	12.9x	11.2x	8.1x	14.5x	0.8x	8.3%	5.8%	5.6%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBITDA	2027e EBITDA	1,520 EURm	8.00x	11.12 EUR	60%
P/BV	2027e BVPS	14.07 EUR	0.80x	11.26 EUR	40%
Weighted target price				11.2 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

2027E EBITDA (EURM)	MULTIPLE 7.0X	MULTIPLE 8.0X (BASE)	MULTIPLE 9.0X
1,216 (-20%)	6.50	8.04	9.58
1,368 (-10%)	7.85	9.58	11.32
1,520 (Base)	9.20	11.12	13.05
1,672 (+10%)	10.54	12.66	14.78
1,824 (+20%)	11.89	14.21	16.52

MULTIPLES & SENSITIVITY

18

Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES	2026
P/E	18.0×
EV/EBITDA	6.8×
EV/EBIT	15.3×
P/FCF	83.4×
P/BV	0.7×
Dividend Yield	4.5%
Net Debt / EBITDA	2.2×

EBITDA × EV/EBITDA sensitivity

EBITDA EV/EBITDA →	6.0×	7.0×	8.0×	9.0×	10.0×
−20% **EUR 1,262m**	EUR 7,572m EUR 5.50 / sh	EUR 8,834m EUR 7.10 / sh	EUR 10,096m EUR 8.70 / sh	EUR 11,358m EUR 10.30 / sh	EUR 12,620m EUR 11.90 / sh
−10% **EUR 1,420m**	EUR 8,520m EUR 6.70 / sh	EUR 9,940m EUR 8.50 / sh	EUR 11,360m EUR 10.30 / sh	EUR 12,780m EUR 12.10 / sh	EUR 14,200m EUR 13.90 / sh
Base **EUR 1,578m**	EUR 9,468m EUR 7.90 / sh	EUR 11,046m EUR 9.90 / sh	EUR 12,624m EUR 11.90 / sh	EUR 14,202m EUR 13.90 / sh	EUR 15,780m EUR 15.90 / sh
+10% **EUR 1,735m**	EUR 10,410m EUR 9.10 / sh	EUR 12,145m EUR 11.30 / sh	EUR 13,880m EUR 13.50 / sh	EUR 15,615m EUR 15.70 / sh	EUR 17,350m EUR 17.90 / sh
+20% **EUR 1,893m**	EUR 11,358m EUR 10.30 / sh	EUR 13,251m EUR 12.70 / sh	EUR 15,144m EUR 15.10 / sh	EUR 17,037m EUR 17.50 / sh	EUR 18,930m EUR 19.90 / sh

SCENARIO VALUATION

19

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	9,500	1,300	13.6%	7.3×	9,490	6,233	EUR 7.90	−14.6%
Base	10,000	1,520	15.2%	8.0×	12,160	8,903	EUR 11.29	+22.0%
Bull	10,500	1,850	17.6%	7.8×	14,430	11,173	EUR 14.17	+53.2%

KEY CONDITIONS

The scenarios diverge on how the conglomerate discount disappears. The outcome depends on whether Bergslagets Skogar is demerged cleanly with its fair share of debt, and whether Oulu's capacity ramp achieves full commercial qualification without sparking price wars.

THESIS BREAKER

The thesis breaks if the demerger generates prohibitive tax leakage or if SpinCo cannot absorb its pro-rata share of the €3.38bn net debt.

20

CATALYSTS

Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER

	TIMING	POOL	INDICATOR	VALUATION IMPACT
Bergslagets Skogar CMD	MEDIUM-TERM	Forest Assets & Wood/Other	Release of pro forma debt and tax allocations for SpinCo.	Dictates NAV realizability
Oulu Capacity Ramp-up	NEAR-TERM	Consumer Packaging	Consumer Packaging margins crossing back above 10%.	Proves €1.1B capex yields accretive ROIC
CE Sawmills Strategic Review	MEDIUM-TERM	Forest Assets & Wood/Other	Announcement of divestment terms for 3m cubic meter capacity.	Removes cyclical drag; deleveraging
Bergslagets Skogar Listing	LONG-TERM	Forest Assets & Wood/Other	Execution of statutory cross-border demerger.	Final realization event

READ-THROUGH

The investment case is built on specific corporate actions, not a macroeconomic cycle. The key catalyst is the November 2026 Capital Markets Day for Bergslagets Skogar, when the market will see the pro forma financials and get answers on debt and tax that are currently holding back the valuation. The easiest catalyst to track is the quarterly EBITDA margin improvement in Consumer Packaging as the Oulu line absorbs fixed costs. The catalyst most likely to be misread is the strategic review of the Central European sawmills. A sale might shrink revenue optically, but it would materially improve recurring earnings quality and lower capital intensity ahead of a packaging-focused future.

RISKS

21 Risk register

Each risk's pool, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Demerger tax leakage and debt stranding	Forest Assets & Wood/Other	Destroys realizable equity value in Forest Assets pool by triggering deferred tax liabilities.	Bergslagets Skogar CMD debt allocation	HIGH	THESIS-BREAKER IF COMBINED
Oulu commercial qualification delays	Consumer Packaging	Compresses margins in Consumer Packaging and traps capital.	Extended utilization below 85%	MEDIUM	MANAGEABLE
Containerboard / Corrugated overcapacity	Integrated Packaging	Suppresses multiples for Integrated Packaging due to structural market saturation.	Declining corrugated box prices	MEDIUM	STRUCTURAL
Structural Nordic wood fiber inflation	Group	Compresses spreads in Biomaterials and Packaging following the cessation of Russian wood imports.	Tightening spreads in Biomaterials	HIGH	STRUCTURAL

READ-THROUGH

The biggest risk is friction around the Bergslagets Skogar demerger. The entire thesis depends on unlocking the €8.48bn gross NAV, so any ruling that imposes large deferred tax liabilities or restricts SpinCo's ability to carry debt would permanently trap value. European containerboard overcapacity is already partly priced in, as shown by the low implied multiple for Integrated Packaging. But structural Nordic wood inflation remains underappreciated. With the permanent loss of Russian wood imports, competition for domestic Nordic fiber is intense. If pulp and packaging end-prices cannot absorb this structurally higher input cost, the long-term margin targets for the operating businesses become unreachable. Early warning signs would be shrinking spreads in Biomaterials and a failure of Consumer Packaging to clear the 10% EBITDA margin threshold by mid-2026.

22

APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS

	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
Net Sales	**9,396**	**9,049**	**9,326**	*9,447*	*9,768*	*10,036*
EBITDA	**826**	**1,324**	**1,449**	*1,578*	*1,520*	*1,607*
EBITDA margin	8.8%	14.6%	15.5%	*16.7%*	*15.6%*	*16.0%*
Depreciation	-1,148	-1,231	-507	*-880*	*-631*	*-625*
Operating Profit (EBIT)	**-322**	**93**	**942**	*698*	*889*	*982*
EBIT margin	-3.4%	1.0%	10.1%	*7.4%*	*9.1%*	*9.8%*
Net financial items	-173	-211	-159	*-154*	*-121*	*-123*
Pre-tax Profit	**-495**	**-118**	**783**	*544*	*768*	*859*
Net Earnings	**-431**	**-183**	**686**	*406*	*568*	*636*
PER SHARE						
EPS	-0.6	-0.2	0.9	*0.5*	*0.7*	*0.8*
DPS	0.6	0.2	0.3	*0.4*	*0.6*	*0.6*
Payout ratio	-109.8%	-86.2%	28.7%	*80.0%*	*80.0%*	*80.0%*

E = Valuatum estimate (not yet actualised)

23

APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
ASSETS						
Tangible assets	7,135	7,489	7,122	*7,425*	*7,678*	*7,889*
Intangibles	392	350	295	*299*	*309*	*317*
Goodwill	505	162	171	*171*	*171*	*171*
Non-current assets	**14,565**	**14,877**	**14,858**	***15,165***	***15,428***	***15,647***
Inventories	1,413	1,585	1,802	*1,766*	*1,826*	*1,876*
Receivables	2,177	1,132	965	*995*	*1,029*	*1,057*
Cash & equivalents	2,464	1,999	1,212	*1,528*	*1,580*	*1,624*
Current assets	**6,054**	**4,716**	**3,979**	***4,289***	***4,435***	***4,557***
Total Assets	**20,754**	**19,802**	**19,059**	***19,676***	***20,085***	***20,426***
EQUITY & LIABILITIES						
Equity	10,888	9,988	10,649	*10,858*	*11,101*	*11,282*
Long-term debt	4,183	3,889	3,093	*2,274*	*2,316*	*2,360*
Short-term debt	691	1,841	913	*2,274*	*2,316*	*2,360*
Long-term liabilities	**4,687**	**4,083**	**3,356**	***2,537***	***2,579***	***2,623***
Current liabilities	**3,674**	**4,232**	**3,277**	***4,506***	***4,621***	***4,726***
Total liabilities & equity	**20,754**	**19,802**	**19,059**	***19,676***	***20,085***	***20,426***
CAPITAL STRUCTURE & RATIOS						
Net debt	2,481	3,814	3,257	*3,481*	*3,521*	*3,577*
Capital invested	13,298	13,719	13,443	*13,878*	*14,153*	*14,378*
Equity ratio	52.5%	50.4%	55.9%	*55.2%*	*55.3%*	*55.2%*
Gearing	22.8%	38.2%	30.6%	*32.1%*	*31.7%*	*31.7%*
Net debt / EBITDA	3.0x	2.9x	2.2x	*2.2x*	*2.3x*	*2.2x*

24

APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
OPERATIONS						
CF from operations	1,234	1,329	1,116	*1,160*	*1,179*	*1,243*
Operating cash flow	1,300	1,397	1,136	*1,274*	*1,268*	*1,334*
Change in working capital	-474	-281	77	*126*	*20*	*17*
INVESTING & FREE CASH						
Gross capex	667	1,543	488	*1,187*	*893*	*845*
Capex (ex. M&A)	-667	-1,543	-488	*-1,187*	*-893*	*-845*
Free Operating Cash Flow	**1,259**	**-456**	**717**	***87***	***375***	***490***
Free cash flow to firm	**1,259**	**-456**	**717**	***87***	***375***	***490***
FINANCING						
CF from financing	92	-159	-1,300	*344*	*-233*	*-355*
Dividends paid	-434	-473	-158	*-197*	*-325*	*-455*
Net change in cash	**659**	**-373**	**-672**	***316***	***52***	***43***

E = Valuatum estimate (not yet actualised)

25

APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,164	2,301	2,261	2,322	2,362	2,426	2,283	2,254
EBITDA	263	274	265	582	288	194	358	615
EBITDA margin	12.2%	11.9%	11.7%	25.1%	12.2%	8.0%	15.7%	27.3%
Comparable EBIT	145	148	139	-279	171	64	237	476
EBIT margin	6.7%	6.4%	6.1%	-12.0%	7.2%	2.6%	10.4%	21.1%
Net Earnings	72	38	84	-379	107	15	201	364
EPS	0.1	0.1	0.1	-0.5	0.1	0	0.3	0.5

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26 *E*	Q3/26 *E*	Q4/26 *E*
Net Sales	2,358	*2,473*	*2,327*	*2,289*
EBITDA	270	*241*	*402*	*664*
EBITDA margin	11.5%	*9.8%*	*17.3%*	*29.0%*
Comparable EBIT	130	*47*	*174*	*347*
EBIT margin	5.5%	*1.9%*	*7.5%*	*15.2%*
Net Earnings	35	*2*	*116*	*252*
EPS	0	*0*	*0.2*	*0.3*

E = Valuatum estimate (not yet actualised)

26

SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
STERV.HE Price 9.25	9.25	MARKET DATA	Cover Page, Valuation Reality Check
Target Price 11.20	11.20	ANALYST-GENERATED ESTIMATE	Cover Page, Recommendation
Forest Fair Value 8,478m	8478	FINANCIAL SNAPSHOT	Value Breakdown, Core Analysis
EV Allocation	10679	COMPANY VALUE MAP	Value Breakdown, Scenario Analysis
2027e EBITDA 1,520m	1520	ANALYST-GENERATED ESTIMATE	Valuation Bridge, Multiples
2026 Forward Multiples	6.77x	MODEL OUTPUT	Recommendation, Valuation Reality Check
Oulu 750kt capacity	750	MARKET DATA	Core Analysis, Catalysts
Consensus Pre-tax 2026	544	CONSENSUS ESTIMATES	Appendix

DISCLAIMER

This report is based on information available as of 3 July 2026. The analyst is responsible for the financial estimates. Historical data is sourced from company reports.